

Chapter 1 Financial Analysis

Let's Start

- 1 Snack 80 and Snack World had sales of \$12.88 million and \$11.95 million last year, respectively. As the companies had different sales, we cannot directly conclude that Snack 80 could generate more net profit from a certain amount of sales. Therefore, even though Snack 80 had a higher net profit, this does not mean that it was more profitable.
- 2 Net profit to sales of Snack 80
 $= \$0.49 \text{ million} \div \12.88 million
 $= 3.80\%$
Net profit to sales of Snack World
 $= \$0.47 \text{ million} \div \11.95 million
 $= 3.93\%$
Snack World had higher profitability because it could generate more net profit per unit of sales.

Check Your Progress

- P1-1** (a) T
(b) F Insurance decisions are not one of the major types of financial decisions. The fourth type should be dividend decisions.
(c) F If the firm distributes all of its net profit as dividends, it cannot retain cash for reinvestment. As a result, it has to give up some profitable investment projects and cannot maximise owners' wealth in the long run.
(d) F Working capital decisions involve the management of a firm's short-term assets and liabilities. Choosing the right capital structure is related to financing decisions.
- P1-2** Profit before tax = $\$100,000 - \$60,000 - \$25,000 - \$6,000$
 $= \$9,000$
- P1-3** Shareholders' fund = $\$100,000 + \$400,000 + \$700,000$
 $= \$1,200,000$
Non-current liabilities = $\$500,000 + \$1,500,000 - \$300,000 - \$1,200,000$
 $= \$500,000$
- P1-4** Gross profit ratio = $(\$1,000,000 - \$700,000) \div \$1,000,000 \times 100\%$
 $= 30\%$
Net profit ratio = $\$60,000 \div \$1,000,000 \times 100\%$
 $= 6\%$
Return on capital employed = $(\$60,000 + \$10,000) \div (\$320,000 + \$50,000) \times 100\%$
 $= 18.92\%$

P1-5 Current ratio = $\frac{\$3,700,000 - \$2,750,000}{\$800,000} : 1$
 $= 1.19 : 1$

Quick ratio = $\frac{\$3,700,000 - \$2,750,000 - \$100,000}{\$800,000} : 1$
 $= 1.06 : 1$

P1-6 Gearing ratio = $\frac{(\$1,000,000 - \$600,000) + \$500,000}{(\$1,000,000 - \$600,000) + \$2,850,000} \times 100\%$
 $= 27.69\%$

P1-7 Inventory turnover = $\frac{\$360,000}{(\$23,500 + \$31,500) \div 2}$
 $= 13.09 \text{ times}$

Trade receivables turnover = $\$256,000 \div \$36,000$
 $= 7.11 \text{ times}$

Trade payables turnover = $\$336,000 \div \$60,000$
 $= 5.6 \text{ times}$

P1-8 Total assets turnover = $\$350,000 \div (\$1,000,000 + \$300,000)$
 $= 0.27 \text{ times}$

- P1-9** (a) F If a firm's trade payables turnover is much lower than the industrial average, this means that the firm pays its trade payables much more slowly and therefore is less efficient than its competitors in paying trade payables.
- (b) F A higher total assets turnover means that the firm can use fewer current and non-current assets to generate a certain level of sales, not just current assets.
- (c) T

P1-10 The company's profitability fell in 2022 as all profitability ratios decreased between 2021 and 2022.
 The company's liquidity improved in 2022 as both the current ratio and quick ratio increased between 2021 and 2022.

- P1-11** (a) F As accounting ratios calculate the relative magnitude of financial figures, they can be used to compare the performance of two firms that are different in size.
- (b) F Accounting ratios may not be able to reflect certain qualitative information about a firm.
- (c) T
- (d) T

Let's Try

T1-1 Net profit is calculated as follows:

$$\text{Net profit} = \text{Gross profit} + \text{Other revenues} - \text{Expenses}$$

According to the formulae for gross profit ratio and net profit ratio, the net profit ratio is higher than the gross profit ratio only if net profit (or net profit before tax) is greater than gross profit. According to the above equation, this happens only when other revenues are greater than expenses. As other revenues do not come from the firm's core business, they are usually much smaller than expenses. As a result, the net profit ratio is usually lower than the gross profit ratio.

T1-2 If both the gross profit and net profit increase by a smaller percentage than sales, the gross profit ratio and net profit ratio will decrease.

T1-3 If a firm can negotiate better credit terms with the supplier, it can pay its trade payables later and keep its cash on hand for a longer period of time. As a result, the firm's average trade payables would increase. The trade payables turnover is calculated as (credit purchases ÷ average trade payables). As the average trade payables increase, the firm's trade payables turnover would decrease.

T1-4 Free answer

Assessment

Short Questions

1.1 Current ratio = $\frac{\$1,582 \text{ million}}{\$1,181 \text{ million} - \$330 \text{ million}} : 1$ 1 mark

$= 1.86 : 1$ 1 mark

Quick ratio = $\frac{\$1,582 \text{ million} - \$766 \text{ million}}{\$1,181 \text{ million} - \$330 \text{ million}} : 1$ 1 mark

$= 0.96 : 1$ 1 mark

1.2 (a) The return on capital employed measures the ability of a firm to generate profits on its capital. It shows the net profit before interest and tax earned for every dollar invested. 2 marks

(b) Company X is a better investment for me. 1 mark

The return on capital employed of Company X (23.5%) is higher than that of Company Y (18.6%). This means Company X has greater ability to generate profits from its long-term funds and that stockholders can gain a higher return from their investments. 1 mark

1.3 The firm has to make the following types of financial management decisions:

- Investment decisions: It has to seek investment opportunities and engage in profitable long-term investments. For example, it may open a new retail shop if doing so is profitable.
- Financing decisions: It has to choose suitable financing methods to raise funds. For example, it may obtain a bank loan to finance its operating expenses.

- Working capital decisions: It has to manage short-term assets and liabilities (such as cash, accounts receivable, accounts payable and inventory) well so that it can operate smoothly. For example, it has to keep a sufficient level of inventory to avoid running out of stock.

Any two

2 marks each

(Any other reasonable examples)

Teachers' guide

The firm does not have to make dividend decisions as it is a sole proprietorship.

- 1.4** (a) Non-current liabilities = \$1,150,000 – \$400,000 = \$750,000
 Shareholders' fund = \$500,000 + \$580,000 + \$919,000 = \$1,999,000
 Gearing ratio = $(\$750,000 + 0) \div (\$750,000 + \$1,999,000) \times 100\%$ 1 mark
 = 27.28% 1 mark
- (b) Return on capital employed = $\$650,000 \div (\$750,000 + \$1,999,000) \times 100\%$ 1 mark
 = 23.64% 1 mark
- 1.5** (a) Total assets turnover = $\$106,900 \text{ million} \div (\$62,700 \text{ million} + \$151,700 \text{ million})$ 1 mark
 = 0.50 times 1 mark
- (b) The airline has used its assets to generate sales less efficiently. For example, it may have purchased a few more aircraft but could not use them to generate a proportional amount of sales. As a result, the percentage increase in sales was lower than the percentage increase in total assets. 2 marks
- 1.6** (a) The inventory turnover may be used to evaluate the following aspects of the trading firm's performance:
- Liquidity: A higher inventory turnover means that the trading firm converts inventory into cash more quickly and therefore has higher liquidity.
 - Management efficiency: A higher inventory turnover means that the trading firm is able to sell its inventory more quickly and therefore can use it more efficiently.
- Any one 2 marks
- (b) Gross profit = Sales – Cost of goods sold
 \$2,100,000 = \$6,000,000 – Cost of goods sold
 Cost of goods sold = \$3,900,000
 Inventory turnover = $\frac{\$3,900,000}{(\$750,000 + \$950,000) \div 2}$ 1 mark
 = 4.59 times 1 mark

Essay Questions

1.7 (a) The aspects of the hotel group's performance that can be evaluated with accounting ratios include:

- **Profitability:** This refers to the hotel group's earning power (i.e., the ability to make profits). The hotel group can evaluate its profitability using the gross profit ratio, net profit ratio or return on capital employed.
- **Liquidity:** This refers to the hotel group's ability to repay its short-term liabilities when due. The hotel group can evaluate its liquidity using the current ratio, quick ratio, inventory turnover, trade receivables turnover or trade payables turnover.
- **Solvency:** This refers to the hotel group's ability to repay its liabilities, both short-term and long-term, when due. The hotel group can evaluate its solvency using the gearing ratio.
- **Management efficiency:** This refers to the hotel group's efficiency in utilising its assets. The hotel group can evaluate its management efficiency using inventory turnover, trade receivables turnover, trade payables turnover or total assets turnover.

(1 mark for the aspect, 1 mark for the explanation and 1 mark for the examples of accounting ratios)

(b) The forms of non-monetary rewards that the hotel group may provide include:

- **Employee benefits:** The hotel group may provide various types of benefits to its employees to boost their morale. For example, it may provide more paid time-off (e.g., annual leave and birthday leave) and offer staff discounts (e.g., allow employees to book hotel rooms at a discount).
- **Training and development opportunities:** To show that it cares about its employees' personal growth and career development, the hotel group may offer more training and development opportunities to employees. For example, it may offer language courses to employees and provide them with more promotional opportunities.
- **Recognition and appreciation:** The hotel group may show its appreciation for employees' efforts by praising them verbally. It may also recognise employees' contributions with awards, such as an Employee of the Month award.
- **Job autonomy and responsibilities:** Some employees want to gain a sense of achievement from their work. The hotel group may give them more job autonomy and allow them to make decisions on their own. It may also delegate more responsibilities to these employees and provide them with challenging tasks.

(1 mark for the form of non-monetary rewards and 1 mark for the explanation/example, maximum 6 marks)

(Any other reasonable examples)

- 1.8** (a) Advantages of filling the position of Finance Director with internal promotion instead of through external recruitment:
- Enhancing the morale and motivation of existing employees: Existing employees may work harder to compete for the promotion opportunity. The promoted employee may also have higher morale.
 - Saving time and costs: The recruitment process can be simplified as the property developer already has its employees' information. Also, less screening and orientation are required.
 - Easier adaptation for the promoted employee: Existing employees are familiar with the company's culture and working environment. Therefore, the promoted employee may find it easier to adapt to the new role.
 - Better understanding of candidates: The property developer has good understanding of its existing employees' background, capabilities, strengths and weaknesses, etc.
- (2 marks for each point, maximum 6 marks)
- (b) The new Finance Director will help the company make the following major types of financial decisions:
- Investment decisions: Investment decisions mean that the company identifies good investment projects in order to maximise owners' wealth. For example, the Finance Director may use net present value to help the company identify a profitable property development project, such as building a residential complex.
 - Financing decisions: Financing decisions mean that the company chooses the right capital structure to reduce the overall cost of capital, so as to engage in more profitable projects. For example, the Finance Director may help the company decide how to finance a new property development project (e.g., whether the company should take out a bank loan or issue stock).
 - Dividend decisions: Dividend decisions mainly involve deciding on the amount and the form of dividends to be distributed to stockholders. For example, the Finance Director may help the company decide how much profit should be paid out as dividends and how much profit should be retained for the company's future development.
 - Working capital decisions: Working capital decisions involve the management of the company's short-term assets and liabilities, such as cash, accounts receivable, accounts payable and inventory. For example, the Finance Director may help the company decide how much cash should be kept to ensure the smooth operation of the company.
- (1 mark for the type of decisions and 2 marks for the explanation/example)
(Any other reasonable examples)

- 1.9 (a) The fashion chain's ratio analysis has the following limitations:
- Accounting ratios cannot capture certain qualitative information about the fashion chain: Accounting ratios are calculated based on figures from financial statements. As they reflect only quantitative information, the ratio analysis may not give a complete picture about the fashion chain. It may not be able to reflect the impact of certain qualitative factors such as the external business environment, corporate governance, management leadership and staff morale.
 - Various accounting practices make comparison of ratios from different firms difficult: If the fashion chain and its competitors adopt different accounting policies and standards (e.g., value inventory and calculate depreciation in different ways), their accounting ratios may not be comparable.
 - Ratio analysis may not reveal the actual source of a problem or success: The use of accounting ratios can only reflect the overall financial condition of the fashion chain. It may not reveal the actual source of a problem or success. For example, while a decrease in the net profit ratio may show that the firm had lower profitability, it cannot identify the cause of earning less net profit per dollar of sales. To better understand why the firm has improved or deteriorated financially, it may need to conduct further investigation using more detailed data.
 - Past data may not reflect the fashion chain's future financial condition: Ratio analysis is based on the fashion chain's past data. Therefore, although it can help assess the firm's past performance, it may not be able to reflect the firm's future financial condition.

(3 marks for each point, maximum 10 marks)

- (b) Data collection methods that the fashion chain may use include:
- Survey research: The fashion chain may design a questionnaire and interview passersby on the street to study consumers' awareness of different fashion brands.
 - Qualitative research: The fashion chain may hold several focus group interviews and let the participants discuss the strengths and weaknesses of different fashion chains in terms of marketing (e.g., which fashion chain has the most attractive promotions).
 - Observational research: The fashion chain may send mystery shoppers to competitors' shops and observe their marketing strategies. For example, the mystery shoppers may observe competitors' prices and the types of promotion they offer.

(1 mark for the data collection method and 2 marks for the explanation/example, maximum 8 marks)

(Any other reasonable examples)

Case Analysis

1.10 (a) The four major kinds of decisions involved in the financial management in a firm include:

- Investment decisions 0.5 marks
- Financing decisions 0.5 marks
- Dividend decisions 0.5 marks
- Working capital decisions 0.5 marks

(b) Starway may use the following external recruitment channels to recruit the new Chief Financial Officer:

- Job advertisement: It may place job advertisements on recruitment websites to publicise the job vacancy.
- Employee referral: It may invite existing employees to recommend their friends and relatives to apply for the job vacancy.
- Employment agencies: It may use the recruitment services of commercial employment agencies which are experienced in acquiring managerial personnel.
- Professional institutions or trade unions: It may post the job vacancy on the websites of trade unions related to the food and catering industries. Any two 2 marks each

(Any other reasonable examples)

Teachers' guide

Job fairs and the Labour Department are not suitable recruitment channels for recruiting managerial personnel.

(c) Gross profit ratio = $\$690 \text{ million} \div \$7,850 \text{ million} \times 100\%$ 1 mark
= 8.79% 1 mark

Net profit ratio = $\$115 \text{ million} \div \$7,850 \text{ million} \times 100\%$ 1 mark
= 1.46% 1 mark

(d) (i) The net profit ratio has worsened. 1 mark
The net profit ratio decreased from 1.9% to 1.46%, meaning that the company has earned less net profit per dollar of sales. 1 mark

(ii) Starway may improve its net profit ratio in the following ways:

- Increasing its gross profit ratio: For example, it may buy ingredients in larger quantities to reduce the cost of goods sold.
- Increasing its sales: For example, it may improve the quality of its food by exercising better quality assurance.
- Reducing its operating expenses: For example, it may simplify the company's administrative processes to reduce administrative expenses. Any two 2 marks each

(Any other reasonable examples)

- 1.11** (a) (i) Laissez-faire leadership 1 mark
- (ii) Disadvantages of adopting laissez-faire leadership:
- Chaos in the workplace: As Jason does not coordinate employees' work or specify what each employee should do, the employees may just focus on their own tasks and fail to cooperate with others. This could result in chaos in the workplace. 2 marks
 - Lack of directions for passive or inexperienced employees: Passive or inexperienced employees may feel frustrated and helpless as they do not receive any instruction or guidance from Jason. This would lower their job satisfaction and work efficiency. 2 marks
- (b) Skimming pricing strategy 1 mark
- The reasons are as follows:
- Since X-tab has made use of cutting-edge technologies and has features that cannot be found in other tablet computers (i.e., the fastest processor speed and longest battery life), it can attract customers with low price sensitivity. They will be willing to pay a high price for X-tab.
 - Since hi-tech consumer products like X-tab will become obsolete quickly, Lemon Ltd should set a high initial price in order to maximise short-term profits. Any
2 marks
- (c) Lemon Ltd may perform a ratio analysis in the following ways:
- Cross-sectional analysis: This refers to the use of certain benchmarks to assess the performance of a firm in a given period. Lemon Ltd may compare its accounting ratios for last year with industrial averages (i.e., average ratios of other firms in the same industry). 2 marks
 - Time-series analysis: This refers to the use of trends in accounting ratios over time to assess the performance of a firm. Lemon Ltd may compare its accounting ratios for last year with those from previous years. 2 marks
- (d) The ratio analysis of Lemon Ltd has the following limitations:
- Accounting ratios cannot capture certain qualitative information about the company: As accounting ratios reflect only quantitative information, the ratio analysis may not give a complete picture about Lemon Ltd. It may not be able to reflect the impact of certain qualitative factors such as the external business environment, corporate governance, management leadership and staff morale.
 - Various accounting practices make comparison of ratios from different companies difficult: If Lemon Ltd and its competitors adopt different accounting policies and standards, their accounting ratios may not be comparable.
 - Ratio analysis may not reveal the actual source of a problem or success: The use of accounting ratios can only reflect the overall financial condition of the Lemon Ltd. It may not reveal the actual source of a problem or success.

- Difficult to identify industrial norms for a company with a unique mix of businesses: Cross-sectional analysis requires an industrial norm for comparison. If Lemon Ltd has a unique mix of businesses (e.g., creating and selling a type of mobile devices that cannot be found in other companies), it will be difficult to find a proper benchmark for comparison.
- Past data may not reflect the company's future financial condition: Ratio analysis is based on Lemon Ltd's past data. Therefore, although it can help assess the company's past performance, it may not be able to reflect the company's future financial condition.

Any two

2 marks each

1.12 (a) Characteristics of SMEs in Hong Kong:

- Usually managed by owners: Owners of most SMEs manage the businesses by themselves, even though they may lack experience and management skills. Some owners also allow their family members to take part in management.
- Limited resources and capital: SMEs usually have limited resources and capital to finance their operations and expand their businesses. For most SMEs, the owners themselves are the major source of capital. It may be difficult for them to obtain loans from banks because of their small size.
- Focus on narrow markets: SMEs often focus on narrow markets that are not attractive to large companies. They can even tailor their goods and services to a particular group of customers. This allows them to build an advantage over their competitors in the market.
- Greater flexibility: Since SME owners usually make decisions by themselves, they can make decisions quickly. Such flexible operations enable SMEs to respond rapidly to market changes.

Any two

2 marks each

(b) (i) $\text{Trade receivables turnover} = (\$7,530,000 - \$740,000) \div \$1,680,000$
 $= 4.04 \text{ times}$

1 mark

1 mark

- (ii) Mr Tin has extended the credit period for his customers this year by one month. Therefore, customers would pay later and average trade receivables are expected to increase. As the trade receivables turnover is calculated by 'credit sales $\div$ average trade payables', Fai Tak's trade receivables turnover is expected to decrease this year.

2 marks

(c) Other accounting ratios that Fai Tak may use to evaluate its management efficiency include:

- Inventory turnover: This measures how efficiently Fai Tak uses its inventory. A higher inventory turnover means that Fai Tak is able to sell its inventory more quickly and therefore can use its inventory more efficiently.
- Trade payables turnover: This measures how efficiently Fai Tak pays its trade payables. A higher trade payables turnover means that Fai Tak is able to pay its trade payables more quickly and therefore is more efficient in doing so.
- Total assets turnover: This measures how efficiently assets are being used to generate sales. The higher the total assets turnover, the more efficiently Fai Tak uses its assets to generate sales.

Any two

2 marks each

- (d) (i) Coaching. Fai Tak may assign a senior finance executive to support and guide the new finance executive. The new finance executive can learn how to perform various tasks (e.g., preparing financial reports) by observing how his coach works.

2 marks

- (ii) Advantages of coaching:

- The trainee can develop skills quickly: The coach can customise the training content according to the finance executive's needs and abilities. The finance executive can also learn from his coach's demonstrations. These help him develop skills quickly.
- The trainee can receive support and feedback: The finance executive can receive support and feedback from his coach. This helps him develop a positive work attitude and improve his performance.

Any

2 marks